

the game plan was to look at the way in which PJM calculates the costs and then utilize tariffs and market clearing prices to establish the ancillary services.. atleast that was my game plan.. that doesnot mean that it is easy to implement. My impression is that it is the obligation of the product development people to make sure that the products that they are selling are billable and i will help them identify where the prices are coming from.. how they do it is something that is beyond all the mess that i am willing to tackle at this time. If they are wanting a signoff from us on the product that is launched then they better show us that they have viable billing capabilities.
hope this helps.

-narsimha

-----Original Message-----

From: Ring, Richard
Sent: Thursday, October 04, 2001 10:46 AM
To: Misra, Narsimha
Subject: FW: Maryland Index Product - Update

Narsimha,

What was the "game plan" for accurately passing through (i) ancillaries (ii) losses and (iii) other uplifts, without opening up our books to audit by customer(s) to verify accurate passthru of costs, other than energy costs?

-----Original Message-----

From: Hansen, Bob
Sent: Wednesday, October 03, 2001 5:03 PM
To: Misra, Narsimha; Ring, Richard; Pan, Liqun; Riley, Christopher
Cc: Johnson, Gillian; O'Neil, Murray P.; Gonzalez, Victor; Blanks, Tom; Woodward, Jason; Stus, Erin
Subject: Maryland Index Product - Update

Today, Gillian and I met with Murray O'Neil, Victor Gonzalez, Tom Blanks, Jason Woodward and Erin Stus about billing/systems issues with the MD Index product. They are willing to support the MD index product in its current hourly-pricing design. So, we can continue to assume a pass-through of hourly PJM BGE prices and all associated ancillaries, losses, and other uplifts (with physical delivery 7/1/02), with the only fixed component being deal costs (including a scheduling fee) and margin.

One issue that came up is how much of the hourly PJM data is already being tracked...so duplication of systems can be prevented. Do you know of any particular PJM databases that already exist, that would be used to develop the PJM BGE index?

The draft Product Approval Template (copy attached) is still on target, so please let me know if you have any changes. If not, we will soon broaden the reviewers and see if we can get approval signatures.

Thanks!

Bob

<< File: BGE Sch P Index Product Approval Template (9-26-01).doc >>